

steadily instead of rapid movements. This in turn means stress free investing journey!

Balancing is done by adding some form of fixed income so that when equity markets turn sour, you'll still be getting steady returns. For salaried individuals, the fixed income part comes naturally. The EPF or NPS, depending on the instrument offered by your employer is the obvious choice. For others, the Public Provident Fund (PPF) ^[30] is a good fixed income product to include. As we've seen that fixed income stabilizes portfolio returns, let's move onto finding the best equity investment vehicle.

Including Equity

"If you like spending six to eight hours per week working on investments, do it (buy individual stocks). If you don't, then dollar-cost average into index funds."

- Warren Buffett

When trying to include equity portion into our portfolio, there are two options to go with - buying direct stocks or giving money to a fund manager who invests in the best companies with his expertise. Being an individual stock-picker involves loads of time and there's huge possibility of things turning sour. In that case, we can look to invest in a fund that will manage the money for us under a defined set of rules.

An active mutual fund has a fund management team that picks stocks after analysis. Active funds are more expensive and are also expected to beat passive funds because there is active human participation.

A mutual fund that simply tracks an index is known as a passive mutual fund. Here, there is no stock picking skills thereby making the expenses low. If the index maintenance body (India Index Services & Products Ltd) makes a change and says a new company has entered the top 50, while another company has dropped out, the mutual fund will try and reflect that change as quickly as possible.

An index mutual fund is a passive fund that tracks a stock market index. The index value is the combined market value of the stocks in that basket.